

Arqaam Fixed Income Funds (OEIC) Limited

Arqaam MENA Bond Income Fund

August 2026



Fund Description

The investment objective of the Arqaam MENA Bond Income Fund (formerly known as Arqaam High Income Fund) is to invest in fixed income securities and instruments listed or traded in, or issued by entities from the MENA region and Türkiye. The Arqaam MENA Bond Income Fund will in particular invest in fixed and floating rate investments originating from target markets pre-identified by the investment team with an emphasis on higher yielding instruments in order to enhance the risk-adjusted returns and will generally invest in fixed income securities that generally have a high level of market liquidity.

Fund Manager's Commentary

The MENA credit universe had its strongest monthly outturn since April in August, with the Bloomberg MENA index recording a total return of +0.94% — partially reversing July's negative outturn and consolidating the recovery from March's conflict-driven drawdown. The Fund generated total net returns of +1.15%, sizably outperforming the index, with security selection in the investment-grade and high yield segments of the regional credit complex the primary attribution driver. In stark contrast to the rates-dominated narrative of the preceding months, August was squarely a spread story. MENA credit spreads tightened by c. 13 bps over the month — the most significant single-month spread compression since April — while EM spreads tightened by c. 7 bps and US IG OAS ended essentially unchanged. The breadth and magnitude of the spread tightening was underpinned by a broadly constructive risk environment: US equities advanced c. 2.6% over the month, Brent crude rose c. 7% from \$85/bbl to \$90/bbl, and — perhaps most consequentially — measures of interest rate volatility fell meaningfully. This reduction in rates volatility is a historically reliable precondition for sustained spread compression in MENA and EM credit, removing the technical overhang that had weighed on total return even in months of broadly stable spreads. US Treasury yields continued to drift modestly higher across the curve in August, but at a pace materially more contained than the outsized front-end moves of May and June. 2Y and 5Y yields rose by c. 5 bps each, the 10Y by c. 1-2 bps, and the 30Y actually declined by c. 3 bps — a continuation of the bear flattening dynamic that has characterised 2026, albeit with 2s10s narrowing by a more modest c. 3-4 bps over the month. The deceleration in the pace of the rates sell-off is, in large part, a function of softening US economic surprise momentum. The Citi US Economic Surprise Index fell from c. 38 at end-July to c. 17 at end-August — a level last seen in early 2026 — suggesting that while the US economy remains on solid footing, the degree to which data is exceeding consensus expectations has diminished materially from the sustained beat streak of prior months. Naturally, this more balanced data environment tempered the hawkish repricing of FFTR expectations. Market pricing shifted only marginally over the month — from 2 full 25 bp rate hikes to 2 full hikes plus a c. 35% probability of a third over the coming 12 months — a far more contained incremental move than was witnessed in either May or June. With Chairman Warsh's hawkish disposition well understood by the market now, the deceleration in economic surprise data has provided a partial counterweight to the structural inflationary narrative, all else equal. The partial recovery in Brent to \$90/bbl — continuing a rebound from June's low of \$73/bbl — provides an incremental positive for GCC sovereign credit metrics, easing some of the fiscal pressure that had accumulated as oil retreated from its conflict-era peaks. The durability of Brent's rise above \$90/bbl, the pace of further FFTR repricing under Chairman Warsh, and the trajectory of US-Iran deescalation talks will remain the key variables to monitor in the months ahead.

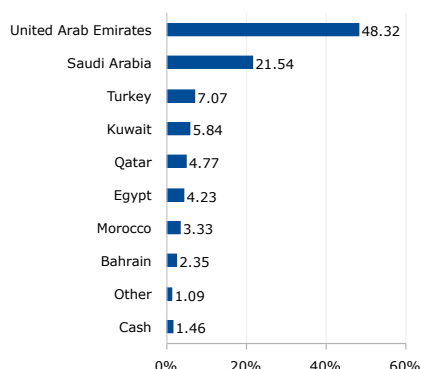
Fund Return

	MTD	YTD	1 Yr	3 Yrs	5 Yrs	SI
Class B Distribution Shares - Initial Series	1.15%	-0.93%	2.10%	-	-	8.38%
Class C Inst Accumulation Shares - Initial Series	1.15%	-0.93%	2.10%	14.08%	2.76%	26.49%
Class E Institutional Distribution Shares	1.02%	-1.77%	-	-	-	-1.77%

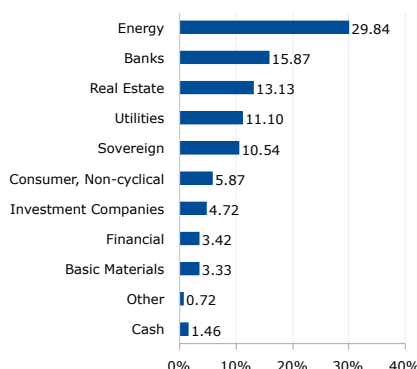
Annual Returns

	2022	2023	2024	2025	2026
Class B Distribution Shares - Initial Series			0.55%	8.81%	-0.93%
Class C Inst Accumulation Shares - Initial Series	-7.85%	5.56%	1.37%	8.93%	-0.93%
Class E Institutional Distribution Shares					-1.77%

Regional Allocation



Industry Allocation



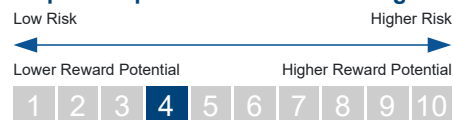
Total Distribution per share**

	Frequency	2021	2022	2023	2024	2025	2026 (YTD)
Distribution Target		5%	5%	6.5%	6.5%	5.5%	6%
Class B Distribution Shares - Initial Series	Quarterly	-	-	-	6.05%	6.08%	2.99%
Distribution Target		-	-	-	-	-	5.5%
Class E Institutional Distribution Shares	Monthly	-	-	-	-	-	3.67%

*Excluding cash except for Average Credit Rating **The dividend returns reported are calculated based on the Average NAV/unit over the period. ***Source and Copyright: Citywire. Abdul Kadir Hussain is A rated by Citywire for his rolling three-year risk-adjusted performance across the fund he manages, as of 31 July 2026.

Note: Arqaam MENA Bond Income Fund NAV figures derived are as of 31 August 2026. All info & opinions obtained from Bloomberg, Fund Administrator and/or Fund Manager and believed to be fair and not misleading. But Arqaam does not guarantee their accuracy or completeness. Past performance not a guarantee of future returns.

Arqaam Capital Product Risk Rating



Source: Arqaam Capital Limited. Based on Arqaam internal product risk rating

Net Asset Value per share

Class B Shares	USD 93.1771
Class C Shares	USD 126.4788
Class E Shares	USD 95.1176

Top Holdings

ADNOUH 4.6 11/02/47	6.53%
ADNOCM 5 1/8 09/11/54	4.41%
GASBCM 6.129 02/23/38	3.94%
ADGLXY 2.16 03/31/34	3.44%
QATIQD 6 3/4 PERP	3.42%

Fund Statistics*

Average Coupon	6.57%
Average Credit Rating	BBB+
Average Maturity	11.53
Average Yield	7.54%
Modified Duration	5.83

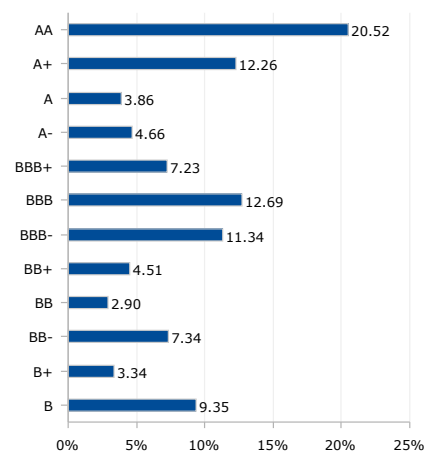
Investment Team***

CIO: Abdul Kadir Hussain, CFA

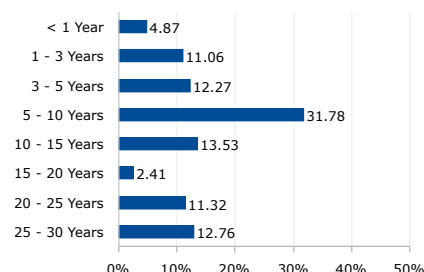


PM: Fady Gendy, CFA

Credit Rating



Maturity Profile*



Monthly Performance (%)

Class B Distribution Shares - Initial Series

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2026	0.11	1.19	-4.64	2.62	-0.65	1.41	-1.94	1.15					-0.93
2025	0.45	1.49	-0.10	-0.44	-0.01	1.50	1.14	1.43	1.47	1.03	0.15	0.38	8.81
2024		0.04	0.92	-2.17	-0.26	-0.79	1.20	1.04	1.22	-0.63	1.06	-1.02	0.55

Class C Inst Accumulation Shares - Initial Series

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2026	0.11	1.19	-4.64	2.62	-0.65	1.41	-1.94	1.15					-0.93
2025	0.47	1.51	-0.08	-0.41	0.01	1.51	1.14	1.43	1.47	1.03	0.15	0.38	8.93
2024	-0.86	1.68	0.93	-2.17	-0.26	-0.79	1.20	1.04	1.22	-0.63	1.08	-1.00	1.37
2023	3.88	-1.93	-0.44	0.46	-0.94	0.96	0.17	-0.85	-2.01	-1.82	4.79	3.44	5.56
2022	-2.21	-3.70	0.55	-1.82	-0.03	-4.12	0.17	2.22	-4.88	-0.35	5.56	0.94	-7.85
2021	0.97	0.38	-0.32	1.42	1.13	0.27	-0.59	1.46	-0.45	-0.70	-3.35	1.07	1.20
2020	0.84	-0.83	-18.21	3.39	4.44	5.04	1.79	3.16	0.21	1.15	3.46	2.05	4.26
2019	2.23	1.03	-0.16	1.11	-0.34	1.24	1.55	0.47	1.61	0.95	0.60	1.35	12.24
2018	0.96	-0.52	-0.46	-0.16	-1.54	-1.33	2.10	-0.80	1.49	-0.38	-0.50	0.43	-0.78
2017								0.40	0.51	0.86	-0.81	0.19	1.15

Class E Institutional Distribution Shares

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2026	0.18	1.07	-4.77	2.47	-0.72	1.24	-2.09	1.02					-1.77

Fund Highlights*

Fund Type	Exempt Domestic Fund
Launch Date	August 03, 2017
Domicile	Dubai International Financial Centre, Dubai
DFSA Ref	C000048A
Investment Team**	CIO: Abdul Kadir Hussain, CFA  PM: Fady Gendy, CFA
Currency	USD
Benchmark	Nil
Fund Manager	Arqaam Capital Limited - Regulated by Dubai Financial Services Authority
Administrator	Apex Fund Services (Dubai) Limited
Custodian	Standard Chartered Bank, DIFC Branch
Valuation Day	Each Business Day
Dealing Day	Each Business Day
ISIN	Class A Shares - AEDFXA3ON013 (New Subscriptions to Class "A" Shares are subject to Fund Manager's prior approval) Class B Shares - AEDFXA3ON047 Class C Shares - AEDFXA3ON054 Class D Shares - AEDFXA3ON062 Class E Shares - AEDFXA05C070 Class F Shares - AEDFXA58C004
Bloomberg Ticker	Class A Shares - ARQAHIA UH (New Subscriptions to Class "A" Shares are subject to Fund Manager's prior approval) Class B Shares - ARQAHIB UH Class C Shares - ARQAHIC UH Class D Shares - ARQAHID UH Class E Shares - ARQAHIE UH Class F Shares - AFLMBIF UH
Subscription Fee	Class A & B Shares - Up to 5% Class C, D, E & F Shares - 0%

* These are only the key highlights of this fund. Further details, including all additional standard fees, costs and expenses and other terms are set out in the prospectus. The prospectus' terms, rates and conditions shall prevail in the event of any discrepancies or errors.

**Source and Copyright: Citywire. Abdul Kadir Hussain is A rated by Citywire for his rolling three-year risk-adjusted performance across the fund he manages, as of 31 July 2026.

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Minimum Subscription

Class A, B & E Shares - USD 50,000 and in multiples of USD 50,000 thereafter;
Class C Shares - USD 500,000 and in multiples of USD 100,000 thereafter;
Class D Shares - EUR 500,000 and in multiples of EUR 100,000 thereafter.
Class F Shares - AED 200,000

Management Fee

Class A Shares - 0.25%
Class B & C Shares - 0.50%
Class D & F Shares - 0.75%
Class E Shares - 1.2%

Performance Fee

NIL

Redemption Fee

Share Class A, B, C, D and F - NIL
Share Class E will follow the below fee schedule
Within 12 months: 3%
After 12 months but until 24 months: 2%
After 24 months but until 36 months: 1%

Deferred Sales Fee

Class E Shares - 3%

Settlement for Subscription

2 Business days prior to Dealing Day

Settlement for Redemption

Within 5 Business days after the Dealing Day

Notice Period

2 Business days for Subscription and Redemption

Taxes

Applicable VAT, withholdings and/or other taxes may apply

Other Standard Costs, Fees & Expenses

As detailed in the Prospectus

Disclaimer and Risk Warning

1. Author, regulator and responsibility

This document has been issued by Arqaam Capital Limited ("Arqaam") in its capacity as Fund Manager of the Fund. Arqaam is incorporated in the Dubai International Financial Centre ("DIFC") and authorised and regulated by the Dubai Financial Services Authority ("DFSA") to carry on financial services in and from the DIFC.

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